

The Social Radars

S1: Steve Huffman, Co-Founder & CEO of Reddit

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Jessica: I'm Jessica Livingston, andCarolynn Levy and I are The Social Radars. In this podcast, we talk to some of the most successful founders in Silicon Valley about how they did it. Carolynn and I have been working together to help thousands of startups at Y Combinator for almost 20 years. Come be a fly on the wall as we talk to founders and learn their true stories.

Today we're talking with Steve Huffman, co-founder and CEO of Reddit. Steve was in Y Combinator's very first batch in the summer of 2005, so Steve and I go way back. He's going to take us through the early days of Reddit, how he and his co-founder, Alexis Ohanian, got started and then sold the company to Conde Nast. A year later, he'll talk about his other startup, the travel site Hipmunk, and then his astonishing return to Reddit when it was 10 years old in 2015. Enjoy.

We're here with Steve Huffman, the founder, and CEO of Reddit. This is making my week, Steve, to see your smiling face here this morning. We're so excited to talk to you on our new podcast.

Steve: Yeah, I'm really excited to be here.

Jessica: And I was telling C Levy, we were sort of just quickly talking about the evolution of Reddit. Can you highlight just for the listeners the timeline, because it was not like every ordinary big company, it had its own strange history where you founded the company, sold it, other people ran it, it spun out, then you came back. Can you just quickly do a quick highlight of that for us?

Steve: I'll do my best.

Jessica: Okay. Just try.

Steve: I've done the high level timeline a million times, but the thing is it keeps getting longer. So 2005, we wanted to start a different company. That was the company we applied to Y Combinator with.

Jessica: Cell phone food is what we called it behind your back when you-

Steve: Cell phone food, before the iPhone existed. So an idea actually ahead of its time.

Jessica: Yep.

Steve: But you and Paul liked us, invited us to come back if we work on something else. That's something else turned out to be Reddit. So we built Reddit and we sold the company

after a year and a half, and actually, that deal took like six months to do and close. And so we knew after a year that the company was going to sell. So we started, let's see, June 2005, we sold to Conde Nast.

Jessica: I don't remember it taking six months.

Steve: Oh, it took forever.

Jessica: Okay.

Steve: I think we agreed on the price, I want to say it was in April or May, and then a deal closed on Halloween, October 31st.

Jessica: I remember that.

Steve: 2006.

Jessica: Yep.

Steve: And then I moved to San Francisco that week. And then we, so this was me, Alexis, and Chris.

Jessica: Chris Lowe.

Steve: Chris Lowe. Yeah. So Chris Lowe was also in Y Combinator separately with a different company, but he joined us after about six months. So he was technically our first employee. We were there for another three years. That was our contract from the acquisition. Alexis and I left, Chris stayed. I left to start another company called Hipmunk, selling plane tickets.

Jessica: How much time between when you left Conde Nast to starting Hipmunk, how much time elapsed?

Steve: It was about six months.

Jessica: Okay.

Steve: Yeah. So we left in the fall, and then Adam Goldstein started Hipmunk in the spring of 2010.

Jessica: Okay.

Steve: So while I was gone, a couple of things happened. Reddit spun out from Conde. This was in around 2012.

Jessica: Okay.

Steve: They brought in-

Jessica: Why did it spin out?

Steve: That was a good move. So part of my frustration when I left was we had a hard time hiring. We had no stock to pay folks, so we were recruiting with salaries to work at Conde Nast on Reddit, but the competition were startups and Google and things like that. And it was also difficult to actually hire, just kind of navigating the bureaucracy of Conde. And I think if I knew everything I knew now, it would be fine. But as a team, there was only six of us at the time, as a team that none of us had ever really worked for a big company or knew how to do anything at a big company, we were kind of paralyzed just in terms of getting people in. Because we had a little bit of a funky arrangement. So they realized this, and so they figured, let's make Reddit look like a startup again.

Jessica: Okay.

Steve: [inaudible 00:05:24] it out, they put some money into the company and they issued a big options pool to recruit from. And so then Reddit had the shape of a startup again, and that actually helped, I think, both on the problem at hand, which was recruiting, but also just kind of bigger picture, that kind of sense of independence and feeling of ownership. Yishan Wong took over as CEO in that time, and so they continued to grow. That was when Reddit started to face its content challenges, for lack of a better word. At the end of 2014, Reddit raised a Series B. The Series A was the spinout, they did their Series B that was led by Sam Altman and had Andreessen and Sequoia, that was that round.

Jessica: And me.

Steve: And you.

Jessica: As an individual investor.

Steve: I still see you on the cat table for good joy. Shortly after that round close Yishan left, that's when Ellen took over.

Jessica: Ellen Powell.

Steve: Yes. Ellen Powell took over. This was the end of 2014. Then through the spring of 2015, that's when things got really interesting, it's kind of one crisis to the next. Until the summer of 2015, that's when I came back. And it's crazy to think that was over seven years ago.

Jessica: Oh my gosh. Okay. This is actually so helpful. Seven years. Now I want to be selfish for a second. I'm just going to do this because this is our podcast. I'm going to make you go back and tell the story of the interview at YC, because you were in the very first batch of YC. Our experimental batch that we were just going to do as sort of a summer thing, so that Paul, Robert, Trevor, and I could learn how to do angel investing and understand it. We never meant to keep doing batches. We posted the Y Combinator website, we had

an application, and we put it out. And I think had you seen it on Delicious slash Popular, or where did you see it? Or his essays?

Steve: I saw it almost certainly on Slashdot.

Jessica: Slashdot. Okay.

Steve: It's hard to say because I was both independently a Paul Graham fan, so I read his stuff directly and kind of go by paulgraham.com periodically just to see if there's something new. And he was also very popular on Slashdot.

Jessica: Were you a fan of Paul because you were a Lisp Hacker specifically?

Steve: Yes. Yes.

Jessica: Okay.

Steve: If you are learning Lisp, I imagine this is still the case, but certainly during that time, if you are learning Lisp, Paul is unavoidable. Because he was actively writing about Lisp at the time, and I'm not sure-

Jessica: No one else was.

Steve: Nobody else was. And he had a couple of books, and so I loved his books.

Carolynn: Were you a CS major?

Steve: I was.

Carolynn: You were? At UVA.

Steve: Yes.

Jessica: Okay. So your senior year, you came up to see him give a talk at Harvard, I think, how to start a startup.

Steve: Yep.

Jessica: And that was... When was that? The winter?

Steve: That would've been, I think, March-

Jessica: March.

Steve: 2005.

Jessica: Okay.

Steve: Because it was our spring break at UVA, and so we had that week off. It was very convenient. So we took the train up, saw Paul talk. I brought a copy of Fancy Common Lisp, which was a book.

Jessica: Fancy Common Lisp. Oh my God.

Steve: Yeah.

Jessica: Okay.

Steve: For him to sign. And so after he was finished giving his talk, we ran up to the front. Alexis grabbed his attention. I was too shy to do so. Chatted with him for a couple of minutes and got him to sign my book. And in fact, I think it's right here. Yeah, it's right here.

Jessica: No way.

Steve: Not very good for a podcast to have visual aids, but yeah, it's right here.

Jessica: Oh, which by the way, that has the... He painted that painting. Did you know that?

Steve: Yeah, it's a little Paul.

Jessica: Yeah, look at that. Wow. So you and Alexis Ohanian come up from UVA all the way to Boston for this talk, which is, that's a big surge for college students, I feel like. And you hit it off though, because I remember that I went to that talk. Then Paul was like, oh, I'm taking some of the attendees out to dinner. And I was like, okay, I'll see you at home later or something. And I didn't go to the dinner. But you and Alexis went out to dinner with him, right?

Steve: Sort of. So he took whatever the Harvard student group was that invited him to talk or hosted him.

Jessica: Yes.

Steve: He took them out to dinner, and he met us after. He said, "Meet me at the kiosk," at such and such time. And we're like, "Okay, sure." But then we had no idea what he was referring to when he said the kiosk. So we spent the next couple hours, if I recall, wandering around Harvard Square asking people, "What is the kiosk?"

Jessica: How long did it take you to find out? I mean, for the listeners, the kiosk in Harvard Square is sort of a landmark. And anyone who goes to Harvard or lives in Harvard Square knows what that is. How long did it take for you to figure it out?

Steve: I mean, we were not sure, because when he said kiosk, I think we were envisioning some obelisk, like a big tower.

Jessica: It's a newsstand.

Steve: It's a newsstand. And so the only thing after wandering around that it could have been was the newsstand. So I think we were there early though, so we were just kind of milling around by the newsstand, hoping that this was the kiosk that he was referring to. But then, yes, eventually he showed up. And then we went over to that Mediterranean restaurant that-

Jessica: The Algiers?

Steve: Yeah, the Algiers. And so that's where we chatted with him for maybe an hour or so about the cell phone food thing. So the idea was order food from your cell phone so that you don't have to wait in line. You can see your menu, you can make your decision, you can put your order in and then go pick up your food. And in true Paul Graham fashion, and this was my first taste of it, he was like, "Yeah, that's fine, but if you take this thing to its natural conclusion, people will never wait in line again for anything." And I remember being like, "Yeah, but Paul, all I really want to do is solve the food problem."

Jessica: He was excited.

Steve: Yeah. He always took ideas to a hundred x.

Jessica: Oh, yes, yes, yes.

Steve: So we had that conversation and then we left. We went back to Virginia, and then it was maybe three days later that he announced Y Combinator.

Jessica: Gosh, I don't think I realized the timing was so close. And then I think, if I remember correctly, because we just launched it on Paul's... we launched the YC site kind of on his own personal site. But I think he emailed you guys and said, "Hey, we just launched this," right?

Steve: Sort of, not quite. So what happened was he announced that, and then Alexis said, "You should send him a thank you note for meeting us." And so I sent him a thank you note. And to that, Paul replied, "Did you see Y Combinator? We announced this. You guys should apply."

Jessica: Okay.

Steve: I probably have that email. So we apply, we actually recruited another guy that I knew from the CS department, and then we applied with My Mumble Menu, which was the name of our cell phone food thing.

Jessica: Okay. So this was, again, the first time we were even doing interviews. Interviews at this point were like 25 minutes long, not like they're now, five minutes. And I remember talking about your idea, and I remember we were like, so do you have any connections to, say, McDonald's type of companies where you want to order your food from? And you guys were like, "No, we don't."

Steve: We had nothing but an idea.

Jessica: Right.

Steve: And in hindsight, there was just no way that was going to work out with... I mean, okay, look, not only did iPhones not exist, but restaurants weren't on the internet. Remember, that was one of our concerns was do the restaurants we want this to be at even have internet access. Because I was actually thinking gas stations, specifically Sheetz is a gas station where you can order food inside and so I'd have all this dead time while I was pumping gas, thinking about what food I was going to order, but nobody was aware of what food I wanted to order, so nobody could be making it. So I was like, somebody should be making my sandwich while I'm-

Jessica: So you had to wait two minutes for them to make a gas station sandwich. That was the nature of this idea.

Steve: Yeah.

Jessica: Wow.

Steve: Yeah. But I did it every day. It's just like-

Jessica: But wait, why wouldn't you order, pump, come back and pick up.

Steve: Good idea. Good idea. I don't have an answer for you.

Jessica: So you guys left the interview. How did you feel, because I think that you were staying overnight in Harvard Square, and I think you went out to dinner or something, and your hopes were crushed that night, right?

Steve: Well, I think we felt decent.

Jessica: Okay.

Steve: We felt decent at first. I remember it was a fun conversation. We were talking tech and this and that, and then we're hanging out with a friend. And that evening is when we got the call that we weren't going to be a part of YC. Now, I forget the details of this part of the story because I don't know if we usually tell it, which was, there was another guy, another startup founder, and Paul said, why don't you work with this guy on something? I don't even remember the idea, if there was an idea, but I know we met with this guy. So we went to have lunch with him or dinner or something.

Jessica: Who are you talking about?

Steve: I don't remember. I'll have to check my email. I remember two bits about the story. One, I think Paul said, if you work with him, you can be in Y Combinator or you'll have a better chance, or something to that effect. So then we met with this guy, and we were talking

about ideas. I can't remember if there's a specific idea, but I remember we were talking about who's going to run the company. Because we had me and Alexis who are close, and then this other guy. And the line that Alexis and I carried for years was when he said, "Well, I want to be Steve Jobs." And so I remember Alexis and I left that conversation thinking, we're not going to work with this guy.

Jessica: No.

Steve: But then for years we would say, "Well, I want to be Steve Jobs." It was a running joke for a long time. So I think it was the next day we called Paul back and said, "We're not going to work with this guy."

Jessica: I am not remembering any of this. Was he your age or was he older?

Steve: He was was our age. He was another Paul Graham fan, applied to Y Combinator, a solo founder.

Jessica: That we had interviewed.

Steve: I believe so, yeah.

Jessica: Oh, good lord. Okay.

Steve: Or yeah, some guy that Paul knew or something.

Jessica: Okay. And you called Paul the next day and said, we're not working with this guy. We're going back to Virginia.

Steve: That's right. And so we got on the train back to Virginia. We were a little hungover. I remember being in rough shape. And then somewhere in Connecticut, Paul called and said, "We didn't like that idea, but we like you guys. Do you want to come back?" He called Alexis, so I wasn't a part of that conversation. So Paul had kind of half the idea of the Delicious idea. I can't remember if he invoked Delicious or not.

Jessica: Think he did invoke Delicious Popular, because he was using that to find interesting things on the web.

Steve: Yeah. And so he was like, make a better version of that, something like that. He was like, come back. We got off the train, we literally jumped across the tracks to the other side, to the other platform and caught the next train going north. And so then we caught up with you guys, and I still have my notebook from that conversation. I'm pretty sure it's on the bookshelf next to me. But I remember taking notes during that. And so that's where we talked about Delicious, talked about some of the names. We talked about some of the dynamics. We talked about where to live.

Carolynn: Was, Not a Bug, one of the names you talked about?

Steve: No, Not a Bug came later. The name of the company, well, so Alexis and I already had a company, Red Brick Solutions L L C, because we were going to do the food idea before we met you guys. We had already been planning on doing it. So we already had a company there that we started in Virginia. But then as soon as there's an opportunity to do Y Combinator, we just forgot about it. We just left it behind immediately. And so yeah, the idea was Paul really liked Delicious and specifically Delicious Popular. So Delicious was a social bookmarking website, people would use it to keep track of their bookmarks. Among other things, they invented tagging. And so a kind of user powered way of sorting things or organizing things. And then Delicious Popular was this side effect. It wasn't the purpose of Delicious.

Jessica: Yes. People were sort of misusing this existing thing because they were looking for something to sort of see what was cool.

Steve: Yes. But people only bookmark things that they want to come back to later or can't read in one sitting. So Delicious Popular was this user powered list of the most tedious stuff on the internet. And so you could see this could be really cool, but it was bookmark stuff, not news or anything funny or anything like that. And then I was a big Slashdot that user, but Slashdot that had editors as gatekeepers. So users would submit possible stories, but then the editors would choose them. But Slashdot had this amazing community that lived within the comments on all of these news articles, and Paul Graham essays, for example. And so the idea was let's build a combination of the two. The dynamic nature of Delicious Popular, but with the community of Slashdot. So Slashdot with no editors.

Jessica: Got it.

Steve: That was the gist of it.

Jessica: Now, let me take a quick second because I'm sorry we made you go through this, but I was just absolutely fascinated by all this detail. Let me tell you what was going on from my side of things. We interviewed you guys, loved you guys. I remember you left the room and I was like, I love Steve and Alexis. They're just amazing. But we didn't choose to fund you because at that time, we didn't realize that it was about the founders. We thought, because we were such noobs, we thought, oh, it's all about the idea. And you can't do that idea, that's not going to work. So we didn't fund you. So you guys leave on a Monday. I was still working, I had my day job at an investment bank. I had not quit yet. So I went back to work on Monday. But I remember on Sunday we had just really talked about, I'm really bummed we didn't fund those guys. It was bugging us. And all of a sudden that afternoon or something, I get an email at work, the subject is, Muffins Saved.

Because I had been calling you guys the Muffins because that was my name for adorable people. I was like, those guys are such muffins. I love them. So Muffins Saved. In that email, Paul detailed how he had called you back and said, "We liked you. We didn't like the idea. Come back." You had actually gotten off the train, turned around, come back, met with him. You guys had cooked up this plan and you were in. And I remember just being like, yes, they're doing YC. So it was a very happy thing.

Carolynn: Before we forget this detail, because I'm afraid we won't get to it, but did the Steve Jobs fanboy end up in that batch?

Steve: No.

Carolynn: Okay.

Steve: No. Never heard from him again. I'm going to have to see if there's evidence in my email because it's so hazy. Because we've literally, other than occasionally blurting out, "But I want to be Steve Jobs," for five years, I have never thought about that story.

Carolynn: It's such a good meme. It's like your meme for your company.

Jessica: And he sort of said that petulantly like, "But I want to run the company. I want to be the Jobs."

Steve: Yeah, yeah.

Jessica: Oh gosh. Maybe we better keep his name confidential.

Carolynn: Steve doesn't remember anyway, I think this sounds like not a problem. No. All right [inaudible 00:23:19].

Steve: He may be doing great now. There's so many great companies that came from that era.

Jessica: Yeah. Maybe we'll find out it's someone huge.

Carolynn: Might be famous.

Jessica: Okay. I'm glad we got to tell that story. Just quickly before we move forward, remember you're in the first batch. What did it feel like? I mean, you were moving to Cambridge for the summer. Y Combinator had zero reputation other than Paul and Robert and Trevor had done the Via Web, but no one knew about us. So you're sort of a leap of faith on your guys' part to do this. Did it work out for you? Were you happy? Do you feel like we knew what we were doing?

Steve: I was in a feeling that I recognize now, I was both incredibly stressed because we were working so much, but also incredibly happy. It never occurred to us not to do this and to not work really hard on it and make the most of it. It was just such an adventure. And when I look back at it through my parents' eyes, I get when they were like, why are you doing this? This is crazy. These people are taking advantage of you. This is, go get a job.

Jessica: Did they say that? Did your parents say that?

Carolynn: They're taking advantage of you.

Steve: I think those were actually my mom's literal words. It was, because remember, Y Combinator's investment was \$12,000.

Jessica: Total, for the two of you. Yeah.

Steve: Yeah, \$12,000 for the two of us. So we were working our ass off for a very small amount of money. But we were so into it. We were so excited and happy. I remember when I heard something like that from my parents, I was just like, but you don't get it. You don't get it. It's Paul. It's Y Combinator. We're working on this really fun thing. We have users.

Jessica: It's maybe more money than you could have gotten elsewhere. It's hard to scrounge up money back then as two students, college students.

Steve: I think the alternative was probably \$0. Who else would've... The other perspective is who else would invest in us? And we have no evidence, so so far, it looks like it would've been zero.

Carolynn: Had you already graduated or were you still working towards your degree?

Steve: So that's part of the story.

Jessica: Yeah. An unfortunate part.

Steve: We applied, we got in, and so this was in May, April, but we didn't graduate until end of, or sorry, March, April. And we didn't graduate until the end of May. And so I remember we were kind of doing stuff, we were working on the name, we're finding the domain name. Alexis had doodled the alien, but hadn't written any line of code. So I wanted to finish school. My mentality was I want to do one thing at a time. And I was like, I've been in school, I'm 95% of the way through. I want to see this through.

Jessica: And you had Cancun, you had Cancun to go to, Steve.

Steve: And so we had spring break, or not spring break, whatever the-

Jessica: Senior break or something.

Carolynn: Like a senior trip.

Steve: End of whatever, the party at the end of the year. So we went to that and we graduated and then we started working on Reddit. But that was the first of lots of, I call them debates, that we had with Paul over the next year on various things because he was like, you need to start immediately. And so there was a lot of pressure for us to start immediately. We started when we moved to Boston. But Paul would bring that up a lot. You should have started two months ago. You should have started two months-

Jessica: He did nag you a lot. I do remember that.

Steve: Well, because then we found out about Dig.

Jessica: Yes, Dig launched before you, so they were the first to launch.

Steve: Yes. And they were bigger. And they had a famous co-founder in Kevin Rose.

Jessica: Was he famous?

Steve: Yeah, he was on TV. He had that show. I forget the name of the channel. There was a tech channel and he had The Screensavers, I think was the show.

Jessica: Oh gosh, I don't remember that. I didn't realize he wasn't obscure like you guys.

Steve: Yeah. He was one of the hosts of The Screensavers. So he was famous, certainly among our circles, and I can't even say our circles, we were not in the same circle as him, but in the audience that would use products like ours, he was famous. But Paul would bring that up forever. Until the day Dig died. He'd like, you'd be Dig if you had started sooner.

Jessica: Totally. He did. That's funny. You have to admit though, he was a bit right, right?

Steve: He wasn't wrong. He wasn't wrong. They had the advantage of, again, Kevin was famous and they had some more money and a prettier, they were a little more seasoned. They knew what they were doing. Alexis and I were still just kids. But we also had an advantage, which was Paul Graham linked to us in one of his essays. And so that's how we got our first chunk of users. So Paul may have been right.

So in hindsight, there's something to be said for this is an experience we've had at Reddit multiple times, for somebody to be bigger and take some of the arrows, take some of the heat, learn lessons the hard way because there's a lot of lessons to learn along the way. And so we've had multiple opportunities with Dig and then Twitter and Facebook, and over the years of seeing them stumble and basically being like, well, we're not going to stumble in that way.

Jessica: It's interesting, this is a good segue because one of the questions I wanted to ask you, I mean, you were kids when you started this. You didn't know anything about startups. What are some of the most surprising things that you clearly now are a seasoned expert, but what was it back then that you didn't realize? Do you remember what was most surprising?

Steve: The criticism that I would give myself in hindsight is actually probably the criticism Paul gave me, which was like, we weren't thinking big enough. We thought we could build everything ourselves, which in that era meant basically just me. I could write it all myself. We don't need to hire, we don't need more money. Really taking the initial Y Combinator idea or that ethos of just doing everything on a shoestring.

Jessica: Yeah, cockroaching.

Steve: Were kind of the extreme version of that. And I also had... I joke when I tell this story that we didn't think of Reddit as a business back then. To me it was more like a homework assignment. It was like, we were part of Y Combinator, so let's just do this. But if we had any concept that this thing could really be big or really last, I think we would've done things a little bit differently. Not necessarily for better, because I think our naivete helped us in some ways, but we were so naive and clueless and innocent, I suppose.

Jessica: If it makes you feel better, we sort of thought that way about Y Combinator. We did it as a interesting experiment and investment company. We weren't looking to change. I mean, we didn't realize how big we'd get either. So I think everyone sort of starts out thinking much smaller.

Steve: Right? Remember the Y Combinator advice then was don't work with VCs.

Jessica: Did we explicitly say that, or we just said, be careful? Because back then, this was the times when they would knife people in an alley with no one looking and get away with it.

Steve: So you would say be careful, but you would say, be careful because you might get knifed in an alley. So I think as a 21-year-old kid, you're like, well, we're not going to touch these guys. We don't even want to be in the same room as them.

Jessica: Oh, I feel badly now. I think Paul had some bad experiences and there wasn't Twitter, there wasn't this transparency. I think now if VCs do really bad things, they wouldn't get away with it

Steve: Because of Y Combinator. Yes.

Jessica: Oh, well, thank you.

Steve: But I think it was good advice because we would have gotten screwed. I think it was better that we just didn't build those relationships because we would have gotten screwed. I know it.

Jessica: Well, you wouldn't have been able to sell to Conde Nast when you did. That's for sure.

Steve: Among other things. I'm confident that if we had successfully raised a VC round, the terms would've been awful.

Jessica: And they were back then.

Steve: And that would've been the end of it.

Jessica: And by the way, YC back in 2005 had zero clout with acquirers like corp dev people and VCs. We couldn't say, hey, those terms are a bit onerous. Why don't you rethink them? We could only warn against them. We couldn't help change them. And that did change over the years.

Carolynn: That's also a little bit of a geography thing, because I think already in Silicon Valley it was a little bit better, and you guys were dealing with East coast feces.

Jessica: True, Boston. Yes. Boston had some really bad terms, very onerous terms on the part of investors. So I didn't realize that the deal with Conde Nast took six months, because I remember it was a big deal actually for Y Combinator when you sold, because no one was interested in us. No reporters ever wrote about YC. And it wasn't until you guys sold to Conde Nast that we ever practically appeared in the news. So I'm grateful for that.

Steve: Yeah, it was felt very exciting. Although it was also a relief. So even, okay, by the time we had settled on the price, I want to say it was in the Spring, call it April, we were not a high functioning company. So at that time, there were four of us. I, Alexis, Chris, and Aaron.

Jessica: Aaron Swartz.

Steve: Alexis, his mother was sick. And so he was physically gone a lot and mentally carrying a lot. Chris was still a full-time student. He was working on his PhD At Harvard.

Jessica: At Harvard, yes. Okay.

Steve: We only had him for nights. And then Aaron and I managed to keep our relationship cordial through the deal. But he wasn't working. He was working on a book or something. He had stopped writing code.

Jessica: Because he was angry with you guys, or just wasn't interested in anymore.

Steve: If I recall, and it's a little fuzzy because there's a lot of passive-aggressive going on there, so I'm not actually sure. We weren't actually speaking. So we had two ideas. There was Reddit and there was Infogami.

Jessica: That was Aaron's company that he participated in Y Combinator in that batch, C Levy.

Carolynn: I remember the name of that company, yeah.

Steve: And so we merged. We had merged the companies. That was how Aaron joined Reddit. And the plan was we'd work on Reddit, and then we'd work on Infogami.

Jessica: Simultaneously, or do Reddit first, see how that did, and then move on.

Steve: Well, we had this vision for how the two would merge. Actually, I'm still a believer in this vision. We had this vision for the internet, that the internet was basically just lists of things, or a lot of the internet was just lists of things, or webs of things. So Reddit was really good as a list of things like blogs, news, things like that. But then there's this idea of a web of things. So a Wiki, but Wikis at the time were not good for structured data. It was just kind of text.

So we're like, well, let's merge these two ideas. Let's create this idea of types of things. And Reddit can be a list of those things, but there can also be a web of those things. So we wanted to merge these things. And so we rebuilt the backend of Reddit. Well, we built this new foundation, and on top of that, the plan was to build Reddit and Infogami. So we built a new foundation. It was probably one of the most productive times of my life. Aaron and I would get up in the morning, we'd walk across town to Paul's house, and we'd work at that front table, I guess it was his kitchen table.

Jessica: Oh my God. Was this when we were in-

Steve: You were in California.

Jessica: Bay Area? We were in California, and he'd let you use his house.

Steve: Yeah, we were working in his house.

Jessica: Full service Y Combinator back then.

Steve: Yeah, it was-

Jessica: Oh my God.

Steve: It was a different time. So writing this common architecture. And then we actually changed locations. Then we started working at the Y Combinator office with Justin and Emmett.

Jessica: Yes.

Steve: Who were working on Kiko.

Jessica: Kiko, who are now the Twitch founders, originally participated in 2005 with a calendaring, a Google calendar idea called Kiko. Okay. So you guys worked there with them?

Steve: We worked there. That's when we moved Reddit to this new backend. But then the original source of the friction between Aaron and me was that we didn't do the Infogami part, because Reddit had users. And so it was all of my time to just keep Reddit going. So we kind of half brought over Infogami, but it just wasn't going very well, and it wasn't very motivating. So yeah, that was it. We just kind of drifted apart because we left behind the Infogami half of the idea.

Jessica: So it was sort of a silent protest on his part.

Steve: Yeah. I don't want to put motive on it, but the other big problem is that we were kids and we didn't know how to resolve disputes. And this is actually one of the regrets I still have in life is... Most of my regrets, I've managed to turn into life lessons and growing moments and things like that. But Aaron and I were very, very close. We spent every

waking moment together, working and talking and eating and all these things. And then we had this kind of silent breakup. And he was with us through the acquisition, but we didn't speak then. We had a few maybe awkward week or two together in San Francisco at Conde. And then he left and we never spoke again.

And then a couple years later, he killed himself. And I wish that we had an opportunity to reconcile and know each other as adults because it was only a moment, there was four months, we were like brothers. We slept in the same room. We really lived the same life for a while there. And then it was just gone. And he was a really fun person to debate with and argue with and build stuff together. And I think our differences were, it was just kind of silly work stuff in hindsight. And we never reconciled it.

Jessica: I'm sorry, I'm now getting a little sad. I didn't think I'd get so sad. But I share some of those regrets too. I lost touch with him. And then when someone leaves so suddenly you sort of think, what could I have done differently?

But let me ask you, to leave Conde Nast after not wanting to maybe work in such a bureaucratic environment and that sort of thing. You start Hipmunk, then you come back in 2015 to Reddit. I want to find out, I think I know Sam Altman reached out to you and sort of help lure you back to Reddit, but I want to sort of hear about that. And I want to know what happens to a company when it's not run by the founders? What sort of shape was Reddit in when you returned?

Steve: Yeah, so first, my motivation for leaving, it was actually just, I wanted to run a business. I actually liked Conde, and all things considered they were very good to us, letting us do our own thing. But they did want us to be a business. And we were really struggling with that because we didn't have that in mind when we were working on Reddit day-to-day in the beginning, we were just building this fun thing. And so I wanted to start a business that was involved in the exchange of money, because that's what a business is. So that's why we started Hipmunk, selling plane tickets. It was a bad business, but it was a business nevertheless.

Jessica: Why was it bad? Yeah. We have all these questions now about Hipmunk. I'm sorry.

Steve: Travel's tough. It's incestuous. There's a few players. It's low margin. Even if we knew everything, we knew everybody and had all of the money, it would've been difficult. But we didn't have the connections, we didn't have as much money and we didn't know that industry. All the big people in travel have done multiple travel startups and so it's its own thing.

But what happened, so Reddit goes through all these adventures and we come around to 2015, and at that point Reddit was this really special place on the internet. And it was frustrating watching it from the outside because I never fully left Reddit in the sense that I used it every day. And that was where... Reddit was such a part of me, and it's quirks, the good and the bad ones were the results of my decisions. And so there was stuff that I just wanted to do that I knew would help. There were decisions that I had made in the early days that were not scaling.

There was a small group of users on Reddit that were just tormenting the rest of the platform, just the mega trolls. And I knew how to at least... maybe I didn't know, I had some ideas for how to wrangle them in, that I'd desperately wanted to see. But Reddit was just going through so much other stuff. They were in the press for all of the wrong reasons. The team was in disarray. They were in no position to do anything.

So that spring of 2015, this was Sam who led the series B and Bob Sauerberg, who was a Conde Nast's guy on the board. I've known them both for a really long time. So we started having this conversation about, will I come back? Can I come back? And I was like, I can't leave Hipmunk. This is my team. These are my people. We're working on this thing. We're in the middle of an M&A process. It's like, I can't leave.

Carolynn: Were you a solo founder of Hipmunk or did you have a co-founder?

Steve: No, Adam Goldstein.

Carolynn: Oh, right, you said that. That's right.

Steve: Adam was the CEO. He was the travel guy. It was really his passion. I just liked building and I liked Adam. Adam and I are still very close despite this next part of the story, which was, so Reddit's calling, and I told Adam, I was like, Reddit's calling, they want me to come back. And he is like, you can't go back. We're in the middle of an M&A process.

Carolynn: Right.

Steve: We were pitching the company, we didn't have a deal. I was like, okay, I won't go back. Adam asked me to promise. He's like, promise me you won't go back until this process is done. I was like, I promise. So then we tried to see if we could get Reddit to buy Hipmunk.

Jessica: Oh, my.

Carolynn: Bit of a mismatch.

Steve: Well, here's what I told them. I was like, if you want me to come back, you also need a team. I have a team.

Jessica: Of good programmers.

Carolynn: Yeah.

Steve: Yeah. I was like, the team will come. We're kind of sick of selling plane tickets. As you imply, it didn't look like a good idea on the surface, but I was like, this could work out great. We tried. We actually tried. I think we even had an offer, but it ended up not working out. And then the crisis at Reddit just hit this peak.

Jessica: Can you remind me what the crisis was?

Steve: Reddit had an employee, Victoria, who was beloved by the community. She was like a mod liaison. And Reddit fired her and that sent the community... They were already not happy about the other stuff and that just put it into overdrive. I actually don't know the details of the story better than that because I've never gotten a straight answer on how all that went down and who talked to whom and whose decision it was. That was basically when the blackout happened. So the moderators took all their communities private, effectively.

Jessica: I remember this now.

Carolynn: Yeah, I do too.

Jessica: Okay.

Steve: And so I was at a friend's birthday party that weekend in Sonoma, and I heard from literally every person I knew on Earth.

Jessica: Wow.

Steve: Texted called, messaged me, emailed. Literally every single person. It's like, what is going on? You have to go back to Reddit. And I was at this birthday party sitting next to Michael Sibel talking about whether or not I should go back. And I remember telling him, I was like, "I think I want to do this." And he is like, "Steve, it's running into a burning building. Are you sure you want to run into a burning building?" And we're going back and forth. I was like, Michael, it's like the building's not just burning. It's like you run into this burning building and then you find out that there are sharks in there too. It's just like there's this layer to how bad this is.

But I remember leaving that conversation fairly convinced that I should go back. This was I think a Friday night. And then Saturday morning I was lying in bed, and I remember deciding Reddit is more important to the world than Hipmunk will ever be. And Reddit has this incredible potential. And not only is it risking not living up to that, it's risking just dying altogether.

Jessica: Yeah. Imploding.

Steve: Yeah. I was like, I have to go back. I didn't have any service though, we were in the kind of the country. And so it took me that whole day to get back to Sam and Bob and Adam and tell them that I was going to go back. So this was, I think it was a Saturday, and then Sam and Bob were like, okay, your first day will be Monday.

Jessica: Oh my word. But you called them before you called Adam.

Steve: I don't remember who I talked to first, because I remember just trying. So I know I talked to everybody that day. Adam was very upset with me. It turned out my first day wasn't Monday because they had to work things out with Ellen. So my first day ended up being Friday, and I remember that was probably... It was among the hardest decisions I've ever

had to make because I felt so awful breaking my promise to Adam and then telling Hipmunk that I was leaving them. It did blow up the M&A process, all of these things. Although Hipmunk, the team, including Adam, were understanding. Upset, but understanding. Very supportive. But then I went back, yeah, my first day was Friday. That was July 9th or 10th.

Jessica: That's amazing. One of the questions I really wanted to ask you, and I know we've focused a lot on the early stuff, and this is more now talking to young founders, first time founders who are just getting started, you're now 17 years into things here. What advice would you give to someone who was in their first to second year about what they should do to be able to endure 17 years of a lot of crap and craziness and stress? What would you have told your young self?

Steve: Well, the first thing is... I can give them advice, but I know it won't make sense for at least 10 years. So I'll say it.

Jessica: Okay.

Steve: But when you're 21, when I was 21, the idea of doing something for 17 years was impossible to conceive because I didn't even have 17 years of memories at that point. Doing something for one year seemed like forever because at that point we were effectively still students. And so the longest we had done anything in life until that point was a semester. And so I think that was the hardest thing looking back on, was having a planning horizon longer than a semester.

Jessica: Yeah. That makes sense.

Steve: And at that point, I did have a job as a programmer while I was in college, but we kind of went from government project to government project. So again, my code never was used by anybody or lasted, again, longer than a semester. So I would go back, the stuff that I thought was great was the energy we had, the naivety we had, the optimism we had for just building, not worrying too much about the business. I actually think that was all great.

But the advice I would give, keep in mind the code you're writing now might last a generation. The decisions you make may be around for a while. The relationships you make or don't will be with you potentially for the rest of your life, thinking that if this is successful, this could be a thing. It may not be successful, but this could be a business, so maybe you should consider what you would do if this thing were an actual business. Honestly, I'm 50/50 on whether we should have treated it like a business in the beginning or not.

Jessica: Yeah.

Steve: It makes sense to treat it like a business now because we want it to be sustainable. But back then I think it would've been good if we could have found the balance, but I don't

think we could have found the balance. And so I think it would've made sense to just err on the side we did, which is just make something people want.

Jessica: I agree with you. I think that that was probably a good thing that you erred on that side, and I think that's actually a nice way to end this conversation on that, make something people want, because you certainly have done that, Steve. It was so much fun talking to you and going back down memory lane. So thank you for your time and hopefully I'll see you soon and we'll someday have you back for part two.

Steve: It was my pleasure. I know I can be long-winded.

Jessica: No, no, no, not at all.

Steve: Lot of fun, a lot of fun telling the stories and yeah, I do hope we get to do part two someday.

Jessica: All right.

Carolynn: All right, Steve, thank you so much. See you later.

Steve: Thanks to you both. Bye.

Jessica: Bye, Steve. Thanks.

Carolynn: Bye.

Jessica: Oh my gosh. That was so fascinating. C Levy.

Carolynn: There was stuff that I didn't know.

Jessica: I know.

Carolynn: I didn't know that Paul said I'm-

Jessica: You've got to go find out.

Carolynn: Have to go find out. It's going to be like Jeff Bezos or something. I'm just kidding.

Jessica: No, no, no, no. You know what it's going to be. If I had to guess, my memory's so embarrassingly bad. I bet it was one of the other guys who we interviewed who we felt was a single founder.

Carolynn: Yeah, yeah.

Jessica: And had a bad idea. So we knew we weren't going to fund him, but he seemed like a good programmer. So Paul, back then, again, remember how little we knew C Levy?

Carolynn: Yep.

Jessica: We did not realize that you couldn't just put two people randomly together and expect that to work. That was a lesson we learned later on.

Carolynn: Imagine if they'd had lunch with that guy, and he said that, and instead of going with your gut and being like, oh, we clearly can't get along with this guy. They're like, we'll work it out. We'll work it out. And then it would've been this disastrous trio and history would be different.

Jessica: I know. It's so weird how these things happen.

Carolynn: Sliding door moments.

Jessica: These fortuitous things. I know, and the thing about Reddit was I feel like there were a lot of little sliding door moments, but I suppose there are with any startup.

Carolynn: Oh yeah, exactly. Yeah, for sure, for sure. But yeah.

Jessica: Oh, I think that was so much fun.

Carolynn: Steve definitely seems like a good storyteller because he has the dramatic pause down perfectly. He doesn't rush through a story. He tells it in this really good cadence.

Jessica: I agree with you. I feel like it's the opposite of me. I just blow through everything quickly and talk quickly.

Carolynn: Same.

Jessica: And not succinctly. And he makes a good narrator.

Carolynn: And at first I was like, oh, it's morning, he seems a little low energy, but it actually is just his way of telling a story, and he just has a good pause. And then he says the perfect thing to keep the story really interesting. And I just thought he has a really good style.

Jessica: I hope we weren't working a really small corner of the room by going through the just details of how Reddit got started, but I found them fascinating. So I'm hoping other people will too.

Carolynn: I'm kind of over that. If you and I are really interested, I feel like, good enough.

Jessica: I mean, I love this.

Carolynn: It's not good marketing.

Jessica: I love this. But all of a sudden I look down, it's like 45 minutes in.

Carolynn: I know.

Jessica: And we hadn't even gotten to when they sold to Conde Nast. I have so many questions.

Carolynn: I started thinking we need a part two. Halfway in, I was like, we're going to need to talk to him again.

Jessica: We need Reddit part two.

Carolynn: Yeah.

Jessica: The return of Steve Huffman.

Carolynn: Yeah, exactly.

Jessica: That's what it'll be called. Let's do that.

Carolynn: Let's do it. Because I also want to ask questions that I think people wonder about Reddit and just these communities. I just have questions about someone who's so good at this community stuff. I want some insights on that.

Jessica: Yes. I didn't get to ask about the community stuff, and I didn't get to ask one thing... I love heartwarming stories, and I wanted to hear about what he's seen that's heartwarming on Reddit. Because you know there's something that will make me cry with happiness because it's so-

Carolynn: Exactly.

Jessica: So wonderful.

Carolynn: Yeah. Yeah.

Jessica: Oh, well.

Carolynn: Okay. We'll get him again.

Jessica: We'll save it for Reddit part two.

Carolynn: Oh, yeah, yeah, yeah.

Jessica: Well, that was a lot of fun, Carolynn.

Carolynn: Yes.

Jessica: And yeah, great talking with Steve. And we will chat next week on our next one.